BEFORE THE NEW YORK STATE PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.

Case 19-G-0309

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.

Case 19-G-0310

SANE ENERGY PROJECT STATEMENT OF OPPOSITION

OVERVIEW

Sane Energy Project opposes the Joint Proposal (JP) filed by the Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY"), KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (KEDNY and KEDLI are collectively referred to as the "Companies") and New York State Department of Public Service Staff ("Staff") on May 14, 2021.

Like National Grid's original proposal filed over two years ago, the JP claims to be addressing climate change and greenhouse gas emission reductions mandated by New York State climate law. But just like the original proposal this JP is more greenwashing of dirty fracked gas and an abject failure to serve the interests of the public. In 2021 it's dangerous climate denialism and it extends a racist history of fossil fuel pollution at a time when marginalized communities are disproportionately struggling with the economic and health impacts of the COVID pandemic.

The State of New York and National Grid have wasted two crucial years that should have been spent transitioning to renewable energy hiding from the public in closed-door negotiations and allowing expensive, contested fracked gas projects to be built.

We oppose this JP because instead of listening to tens of thousands of public comments and input from elected officials, Staff and the Companies have failed to commit to reduce gas use in a meaningful way and begin the morally necessary and legally mandated transition off fossil fuel infrastructure. And have instead chosen to hide massive investments that expand capacity and extend the life of fracked gas infrastructure and set customers up for higher bills through the Demand Capacity Surcharge Mechanism[1] and future rate years beyond this proceeding.

As Sane Energy Project laid out in our Initial Brief, in testimony throughout this case and in other proceedings before the Public Service Commission ("Commission"), investments in new fracked gas infrastructure are against public interest because:

- They go against greenhouse gas emission reduction goals and Environmental Justice protections of New York State policy mandated in the Climate Leadership and Community Protection Act (CLCPA).
- There's no need for these projects.
- There's been massive public opposition to them.
- Fracked gas infrastructure poses serious threats to the health and safety of communities.

[1] Section 3.22

We respectfully request that the Commission reject the JP because it approves $128,633,000 of rate recovery for the widely opposed Metropolitan Reliability Infrastructure (MRI) pipeline, $3,406,000 for Vaporizers 13 &14 and $793,000 for Truck Load/Unload Station, which are two widely opposed projects at the Companies' Greenpoint liquefied fracked gas (LNG) storage facility, tens of millions more extending the life of that facility and hundreds of millions of dollars expanding and extending the life of fracked gas infrastructure throughout the service territory.

HISTORY

On April 30, 2019 the Companies filed new tariff filing and initial testimony in support of their request to increase gas delivery rates.

On May 15, 2019 in response to the New York State Department of Environmental Conservation's (DEC) second denial of Transcontinental Gas Pipe Line LLC's (Transco) application for water quality certification permits for the Williams Northeast Supply Enhancement (NESE) Pipeline, the Companies instituted a harmful and politically motivated moratorium, denying customer connections.

On July 18, 2019 the CLCPA was signed into law by Governor Andrew Cuomo, setting legal mandates to reduce emissions to 40% below 1990 levels by 2030 and then to 85% below 1990 levels by 2050.

On August 30, 2019 Sane Energy Project filed Direct Testimony outlining how National Grid's proposal failed to align with the CLCPA as well as New York City climate law.

On September 24, 2019 confidential settlement negotiation between parties commenced.

On October 10, 2019 Commissioner John Rhodes issued a one commissioner order instituting proceeding 19-G-0678 investigating National Grid's denials of service.

On October 10, 15, 16, 23, and 24, 2019 confidential settlement meetings occurred between parties.

On November 12, 2019 Governor Andrew Cuomo issued a letter to the Companies notifying them of his intent to revoke its certificate to operate its downstate territory.

On November 25, 2019 Governor Cuomo and the Companies announced in a press release a settlement agreement to immediately lift the moratorium which included a $36 million penalty to compensate customers impacted by the moratorium and in support of clean energy projects. The next day on November 26, 2019 Commissioner John Rhodes adopted the settlement through a one commissioner order which said "a long-term option or options should be identified and agreed to by the State of New York by June 2020".

On December 10, 2019, the ALJs issued a ruling providing for the filing of additional testimony to address the impacts of the November 2019 Order on the Companies' Rate Year revenue requirements.

On December 13, 2019 the Companies filed Second Supplemental Testimony proposing alternatives to the Williams NESE Pipeline including Vaporizers 13 & 14 at the Greenpoint LNG facility, doubling the Glenwood CNG facility and adding two new CNG facilities. The Companies also said "KEDNY's MRI Reliability project must be accelerated by one year to provide the hydraulic system support that is critical for enabling new customer connections over the next few winters." [2]

On January 14, 2020 the Companies gave a presentation on the MRI Pipeline to the public at a Brooklyn Community Board-1 meeting[3]. They directly lied to the public by saying the project wasn't a pipeline and failed to alert the community of its plans for Vaporizers 13 & 14 at the Greenpoint facility.

On February 10, 11, 12, 13, 14, 19, 20, 24 and 25, 2019 evidentiary hearings were held. During testimony the Companies confirmed it had done no greenhouse gas emissions assessments for the MRI project, LNG Vaporizers 13 & 14 and the proposed CNG projects.

On February 24, 2020 the Companies filed a Natural Gas Long-Term Capacity Report[4] in Case 19-G-0678. The report made no mention of the two new vaporizers the Companies were already actively pursuing at their Greenpoint facility.

On February 28, 2020 community members shut down construction of the MRI pipeline. 10 people were arrested.[5]

On March 9, 23, 24, 25, 30 and 31, 2020 public hearings were held on the Companies' Long-Term Capacity Report as part of Case 19-G-0678. The Companies presented large scale fracked gas infrastructure projects including an LNG port that they admitted would likely never be permitted while leaving out smaller projects like the Greenpoint LNG vaporizers that they were actively pursuing. Community members vehemently spoke out against the Williams NESE Pipeline, any new fracked gas projects including CNG trucking and the MRI Pipeline.[6] The Companies tried to avoid answering questions about the MRI Pipeline saying it was not a part of their Action Plan to meet long-term capacity.

On March 13, 2020 the independent monitor in Case 19-G-0678 filed their first quarterly report saying "To further support gas capacity, the Action Plans looks to the Metropolitan Reliability Infrastructure ("MRI") project as a means of providing flexibility in how gas supplies are

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[2] December 2019 GIOP Second Supplemental Testimony Page 6
[3] Exhibit_Sane 2 Transcript: Brooklyn Community Board 1 January 14, 2020 Presentation on Metropolitan Reliability Infrastructure Project by National Grid
[4] Natural Gas Long-Term Capacity Report Case 19-G-0678
[5] https://brooklyn.news12.com/10-arrested-at-protest-against-pipeline-construction-in-brooklyn-41833767
[6] Exhibit_Sane 4.1-4.6 Public Hearing Transcripts

delivered to meet demand. In particular, the MRI project has been substantially built, but the final phase remains under review and development, the prospects of which remain outstanding. One National Grid executive described MRI as a "critical reliability project" for delivering natural gas under the Action Plan. National Grid is "still modelling" the consequences if MRI is not completed in 2021, and whether MRI's absence would cause the Action Plan to fail."[7]

On March 23, 2020 elected officials and community members sent a letter to National Grid President John Bruckner calling for a halt of construction of the MRI Pipeline due COVID-19 concerns. [8]

On March 27, 2020 after massive public outcry the Companies temporarily halted construction of the MRI project due to the COVID pandemic.[9]

On April 7, 2020 Sane Energy Project filed an Initial Brief that further laid out how National Grid's proposal fails to meet the greenhouse gas emission reduction goals and environmental justice protections of the CLCPA.

On April 14, 2020 The Eastern Environmental Law Center filed a report by Synapse pointing out many errors in the demand forcasting that National Grid used for its Long-Term Capacity Report to justify new fracked gas infrastructure saying "Correcting these errors, our analysis concludes that National Grid has not shown that it faces a supply and demand gap. In fact, National Grid is expected to have a substantial surplus of supply capacity by 2034/35."[10]

On May 1, 2020 the City of New York filed a comment in Case 19-G-0678 recommending National Grid go with the no fracked gas infrastructure option in order to be in compliance with city and state climate law.[11]

On May 15, 2020 the DEC denied Transco's application for water quality certification permits for the Williams NESE pipeline for a third time. In response National Grid announced it would restart construction of the MRI pipeline despite the COVID pandemic still ravaging Brooklyn communities. [12]

On June 5, 2020, instead of the Commission issuing a ruling in case 19-G-0678, Staff announced settlement negotiations would begin again despite the whole case having been litigated and the public demanding a ruling from the Commission on the Companies' proposed Long-Term Capacity Projects and the MRI Pipeline.

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[7] Monitor's First Quarterly Report Case 19-G-0678
[8] Exhibit_Sane 5
[9] https://brooklyneagle.com/articles/2020/03/27/coronavirus-national-grid-halts-north-brooklyn-pipeline-construction-after-outcry/
[10] Exhibit_Sane 6
[11] NYC Comments on LTCR Final Case 19-G-0678
[12] https://bushwickdaily.com/news/6528-nat-grid-restart-construction-after-williams-pipeline-is-rejected

On June 8, 2020 160 organizations filed a letter in case 19-G-0678 urging the Commission to choose National Grid's no fracked gas infrastructure option to meet long-term demand. [13]

On June 15, 2020 settlement negotiations commenced. After hearing that there would be no public Commission ruling in case 19-G-0678 and that settlement negotiations were restarting instead, about a dozen new parties joined the rate case including a number of individuals and organizations like the Newtown Creek Alliance, Alliance for a Green Economy, the No North Brooklyn Pipeline Coalition and the Sixth Street Community Center.

On July 1, 2020 Robert Wood filed a letter in Case 19-G-0678 calling on the Commission to "honor the terms of the settlement in Case 19-G-0678, beginning with an effort to update the public on the status of the decision."[14]

On July 17, 2020 The Stop the Williams Pipeline Coalition filed a letter in Case 19-G-0678 further questioning the Commission transparency with the public on decision making of widely opposed fracked gas infrastructure projects. The letter also argued that approval for these fracked gas infrastructure projects should occur within Case 19-G-0678, not the rate case.[15]

On July 24 and 28, 2020 confidential settlement meetings occurred between parties.

On August 3, 11, 18 and 25, 2020 confidential settlement meetings occurred between parties.

On September 4 and 10, 2020 confidential settlement meetings occurred between parties.

On October 15, 2020 four community members were arrested shutting down construction of the MRI Pipeline in Bushwick, Brooklyn. [16]

On October 16, 2020 three community members were arrested shutting down construction of the MRI Pipeline in Bushwick, Brooklyn. [17]

On October 19, 2020 following the dramatic community shutdowns of construction Congressmember Nydia Velazquez and other elected officials rallied at the MRI pipeline site and called for an immediate halt of construction. [18]

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[13] Exhibit_Sane 7
[14] Exhibit_Sane 8
[15] Exhibit_Sane 9
[16] https://www.brooklynpaper.com/way-down-in-the-hole-protesters-lock-themselves-to-nat-grid-pipeline-in-wburg/?fbclid=IwAR3TEqHpVITo99ONm1EULGrp0mRFmexQ4TGj7z2yZQzR9KgvMZootlwo2cI
[17] https://pix11.com/news/local-news/brooklyn/demonstrators-chained-to-pipe-at-brooklyn-construction-ditch-to-protest-pipeline-nypd/
[18] https://brooklyn.news12.com/activists-national-grid-s-north-brooklyn-gas-main-isn-t-welcome

On October 25, 2020 five community members were arrested shutting down construction of the MRI Pipeline in Bushwick, Brooklyn.[19]

On November 17, 2020 a confidential settlement meeting occurred between parties.

According to the Companies response to Sane IR-23, the Companies completed phase 1-4 MRI Pipeline and put it into service at the end of November 2020. [20]

On December 1, 2020 a confidential settlement meeting occurred between parties.

On December 3, 2020 New York City Mayor Bill de Blasio announced his opposition to the MRI Pipeline, saying the pipeline was unneeded and recognized it as environmental racism. [21]

On December 10, 2020 community members shutdown construction of the pipeline in Brownsville, Brooklyn. [22]

On February 25, 2020 Staff and the Companies filed a Second Amendment to Settlement Agreement in Case 19-G-0678 agreeing "that National Grid will repurpose the $20 million of shareholder funding described in Section VII to establish a deferral for the benefit of customers that will be used as a credit to offset the costs of National Grid's Commission-approved energy efficiency and demand response programs."[23]

On March 5, 2021 confidential settlement meetings occurred between parties.

On March 10, 11 and 18, 2021 dozens of community members provided public comment at a DEC public hearings for Vaporizers 13 & 14. There was unanimous opposition to the projects during the public hearings and multiple calls for the storage facility to be retired so adjacent environmental justice communities can heal. During the public hearings the Companies once again lied to ratepayers and said the LNG facility was "independent" of the MRI Pipeline. [24]

On March 10, 2021 fourteen organizations filed a letter to express opposition to the proposed Second Amendment to Settlement Agreement in Case 19-G-0678. and urge the Commission to reject the proposal.[25]

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[19] https://www.democracynow.org/2020/10/27/headlines/climate_activists_arrested_in_nyc_after_shutting_down_construction_of_north_brooklyn_pipeline

[20] Exhibit_Sane 10

[21] https://www1.nyc.gov/office-of-the-mayor/news/829-20/statement-mayor-bill-de-blasio-the-north-brooklyn-pipeline-project

[22] https://static1.squarespace.com/static/5e383a758a73ef3c81c74323/t/5fd294120301bb76719855ab/1607635988835/BRGC+Press+Release+12_10_2020.pdf

[23] Second Amendment to Settlement Agreement Case 19-G-0678

[24] Exhibit_Sane 11.1-11.4

[25] Exhibit_Sane 12

On March 11, 2021 several parties including Sane Energy Project walked out of confidential settlement negotiations. [26]

On March 18, 2021 Sane Energy Project, Cooper Park Resident Council, and three local community members sued National Grid and the DEC for failing to properly take legally mandated environmental justice protections and the state's climate law into account when making decisions on an air permit for LNG Vaporizers 13 & 14 [27]

On May 14, 2021 Staff and the Companies filed a Joint Proposal.

On June 1, 2021 Community members launched a Gas Bill Strike refusing to pay for the MRI Pipeline. [28]

This has not been a typical rate case. Not only because of the unusual length, but there has also been unprecedented public participation, a harmful moratorium to push for an unpopular pipeline and extremely controversial fracked gas projects on the table.

The amount of public engagement reflects the growing demands of the public for our state to align our energy decisions with climate science, climate law and environmental justice.

When making their recommendation to the Commission, we urge the Administrative Law Judges (ALJs) to closely examine the demands of ratepayers not only in this case but in Case 19-G-0678 and the copious evidence in that case in addition to the thousands of public comments.

MRI PIPELINE

Thousands of public comments have been filed in this proceeding urging the Commission not to approve a single dollar for the MRI Pipeline and in 2020, 22 community members were arrested shutting down construction of the pipeline. Yet this JP ignores the massive public opposition of 2020 and allows $91,802,000 of rate recovery for what the Companies spent on Phases 1-4 of the pipeline in 2020 and $1,931,000 for Phase 5.

The JP also includes an additional $34,900,000 for Phases 1-4 of the pipeline for FY 21, all while leaving the possibility of Phase 5 on the table with the chance to hit customers with another rate hike through the Demand Capacity Surcharge Mechanism.

This sets a dangerous precedent that utilities will be rewarded for building controversial infrastructure without prior rate recovery approval and ratepayers will get stuck with the bill. Staff

[26] https://citylimits.org/2021/03/12/national-grid-wants-to-divert-clean-energy-funds-as-advocates-ditch-settlement-talks/
[27] https://www.reuters.com/article/usa-energy-lawsuit-idUSL1N2LH01L
[28] https://www.brooklynpaper.com/activists-withhold-gas-bill-payment-to-protest-national-grid-pipeline/

delayed negotiations, often allowing months to go between settlement meetings, all while this controversial and widely opposed infrastructure was being built without rate recovery approval.

While we don't have much faith in the additional requirements for Long-Term Capacity Projects[29] since similar reviews for some of these projects were completed in 19-G-0678 and the Commission and Staff allowed the Companies to present misleading information on climate impacts and need, if the Companies and Staff believe additional review is necessary for these projects then the same standards of scrutiny should apply to MRI Pipeline Phase 1-4 before the Companies are allowed rate recovery approval. One of the original purposes of the pipeline was to move additional capacity brought on to National Grid's system by the Williams NESE Pipeline[30] and in case 19-G-0678 the independent monitor identified the need for the MRI Pipeline as part of the Companies Action Plan. [31]

While there are no estimates for the cost of Phase 5 of the MRI Pipeline in any of the Appendices of the JP, the Companies' testimony estimated costs left of $54,574,399 for FY21 and $5,729,685 for FY22[32]. The Companies have said it need Phase 5 of the MRI pipeline to get full use of the LongTerm Capacity Projects, saying "the flow path is constrained currently. The loop created by MRI Phase 5 provides a path for the gas to flow between Greenpoint and the system that does not require it to flow through the spur and backbone line first." [33] Additionally the current 16-inch transmission pipeline that connects to the Company's Greenpoint facility is over 70 years. The Companies have made every indication it plan to pursue Phase 5 of the pipeline which will lead to an additional rate hike through the Demand Capacity Surcharge Mechanism.

We urge the Commission to heavily weigh the health and safety concerns brought up in public comments against the MRI Pipeline in its decision as well as the massive public opposition, the lack of need for this project and reject any rate recovery for 2020 and 2021 and completely remove Phase 5 from any future capital plan.

GREENPOINT LNG FACILITY

We oppose the tens of millions of dollars in the JP to extend the life of and expand gas output from the Company's Greenpoint LNG Facility.

The JP would allow the Companies to recover the $793,0000 it spent in 2020 on Truck Load/Unload Station and $3,406,000 on new LNG Vaporizes 13 & 14. These projects have not received all their City and State permits[34] yet and are facing massive public opposition. As we

[29] Section 5.3
[30]"The project will maximize existing capacity and also will enable, proposed upstream capacity (e.g., from Williams' NESE Project) that will better position the Company to meet customers' long-term supply needs over the next 15 to 20 years." KEDNY April 2019 GIOP Testimony Page 50
[31] National Grid Monitorship: First Quarterly Report - March 13, 2020
[32] Second Supplement GIOP Testimony
[33] Exhibit_Sane 13
[34] Exhibit_Sane 14

have argued before, ratepayers should not be covering the costs of any new fracked gas projects, but especially costs for projects with such great uncertainty if they'll ever be built.

The community surrounding the Greenpoint LNG facility have suffered from decades of environmental pollution including from previous industrial activity at the site, as well as current fracked gas pollution. They have made it clear in public comments submitted in this case, at public hearings in Case 19-G-0678 and at DEC hearings for the LNG Vaporizers 13 & 14 that this facility should be retired.

We oppose the following expenditures that extend the life of the Greenpoint LNG facility instead of retiring it:

-$14,762,000 FY 20 Vaporizers 3 & 4 replacement
-$6,550,000 FY 21 Vaporizers 3 & 4 replacement
-$200,000 FY 20 Saltwater Pump House Upgrade
-$4,463,000 FY 21 Saltwater Pump House Upgrade
-$36,482,000 FY 22 Saltwater Pump House Upgrade
-$162,000 FY 23 Saltwater Pump House Upgrade
-$49,029,000 FY 24 on Saltwater Pump House Upgrade
-$3,705,000 FY 22 Tank 2 Upgrade
-$5,558,000 FY 23 Tank 2 Upgrade
-$9,623,000 FY 24 Tank 2 Upgrade
-$2,559,000 FY 20 LNG Blanket
-$2,648,000 FY 21 LNG Blanket
-$2,654,000 FY 22 LNG Blanket
-$2,713,000 FY 23 LNG Blanket
-$12,264,000 FY 24 LNG Blanket

These projects alone put ratepayers on the hook for over $150 million of investment in a facility that should be retired with the potential of additional rate hikes through surcharges for Vaporizers 13 & 14 and the Truck Load/Unload project which the Companies have made every indication it intend to vigorously pursue.

By approving this JP and approving rate recovery for $793,0000 on Truck Load/Unload Station and $3,406,000 on new LNG Vaporizes 13 & 14 for 2020 the Commission would be setting a dangerous precedent that utilities can start spending money before getting permits[35], ignore community input and build projects without community consent.

This practice leaves ratepayers on the hook for infrastructure that will very quickly become a stranded asset as we implement our climate law or possibly even worse, delay the implementation of our climate laws and lock us into using unsafe fossil fuels for decades to come.

[35] Exhibit_Sane 15

It is also particularly concerning that the Companies are anticipating a large increase in LNG Blanket spending in 2024[36]. 2024 is only 6 years away from 2030 which is when we need to reduce emissions to 40% below 1990 levels, yet the Companies plan to ramp up spending on fossil fuel infrastructure.

Staff and the Companies use the word safety a lot in their JP and in testimony throughout this case, but have failed to address the safety concerns of fracked gas infrastructure, particularly concerns of health impacts from gas from the Marcellus Shale, which has high levels of radon. During the evidentiary hearing the Companies confirmed it does not test for radon at their gate stations or LNG facilities, but as a study by Linnaeus University found "radon and radon decay products are more easily settled in LNG tank."[37]

We further ask the ALJs and Commission to look at the untruthful manner in which the Companies have presented the Greenpoint LNG projects to the community, a community that has suffered from decades of industrial pollution. The Companies lied to community members at the DEC public hearings saying the MRI Pipeline and Greenpoint LNG facility were "independent" projects when Phase 5, if built, would literally connect to the facility.

The ALJs and Commission should also take into account the extreme vulnerability of the facility to climate change and ongoing superfund remediation when considering if tens of millions of dollars of investment extending the life of the facility are prudent.

CNG EXPANSION ON LONG ISLAND

We oppose the three CNG projects the Companies are requesting rate recovery for through the Demand Capacity Surcharge Mechanism, Glenwood CNG Injection Facility Upgrade, Portable CNG 3rd Site (Barrett CNG Off Loading Facility) and Portable CNG 4th Site (Inwood CNG Off Loading Facility).

These projects were widely opposed by the public at hearings in Case 19-G-0678 and we oppose them because in addition to the health and climate impacts we discussed above for fracked gas projects, the CNG trucking presents an additional risk to the safety of the public. The CNG trucks would be used for peak demand which often occurs during bad winter weather. As we saw with a recent explosion of a propane truck[38] on a major New York highway, this is the worst possible time for explosive trucks to be on the road driving through our communities.

Additionally The Synapse report's findings show there is no need for these projects.

STAY OUR YEAR = BIG RATE HIKE FOR FOSSIL FUELS

[36] Exhibit_Sane 14
[37] Exhibit_Sane 16
[38] https://www.msn.com/en-us/news/us/propane-tanks-burst-into-flames-after-truck-overturns-on-long-island-expressway-in-queens/ar-BB1c8MLD

It is very concerning that under the proposed Capital Invest Plan the Companies are predicting increased capital expenditures in all categories including Customer Connections and Mandated and Reliability expenditures in 2024. This not only means that the Companies plan to ramp up spending on new fossil fuel infrastructure, but that ratepayers will see a steep increase in bills as spending increases and credits and funds from other settlements run out. The Companies and Staff have been able to hide the large amount of fracked gas spending in Rate Years 1, 2 and 3, but customers will pay the costs in Rate Year 4.